

100 MULTIPLE-CHOICE MOCK QUESTIONS FOR A BA IN ACCOUNTING AND FINANCE PROGRAM:

1. Which financial statement shows a company's revenues and expenses over a period of time?

- a) Balance sheet
- b) Income statement
- c) Statement of retained earnings
- d) Cash flow statement

Answer: b

2. Which of the following is a type of credit risk?

- a) Interest rate risk
- b) Liquidity risk
- c) Market risk
- d) Default risk

Answer: d

3. If a company's current ratio is 2, what does this indicate?

- a) The company has a high debt burden
- b) The company is at risk of bankruptcy
- c) The company has strong liquidity
- d) The company has a low profitability

Answer: c

4. Which of the following would increase a company's current ratio?

- a) Decreasing current assets
- b) Increasing current liabilities
- c) Decreasing long-term debt
- d) Increasing equity

Answer: d

5. Which financial statement shows a company's assets, liabilities, and equity at a specific point in time?

- a) Balance sheet
- b) Income statement
- c) Statement of retained earnings
- d) Cash flow statement

Answer: a

6. Which of the following is an example of a capital budgeting decision?

- a) Deciding whether to buy or lease a company vehicle
- b) Deciding on the appropriate amount of advertising to promote a product
- c) Deciding whether to invest in a new production facility
- d) Deciding on the appropriate inventory levels for a product

Answer: c

7. Which of the following is a method of calculating the present value of an investment?

- a) Payback period
- b) Net present value
- c) Internal rate of return

d) Return on investment

Answer: b

8. Which of the following is a type of risk associated with investing in the stock market?

a) Default risk

b) Interest rate risk

c) Market risk

d) Credit risk

Answer: c

9. Which of the following is an example of a variable cost?

a) Rent for a retail store

b) Salaries for administrative staff

c) Raw materials used in production

d) Depreciation on production equipment

Answer: c

10. Which of the following would result in a decrease in a company's operating leverage?

a) Decreasing fixed costs

b) Increasing variable costs

c) Decreasing sales

d) Increasing debt

Answer: a

11. Which financial ratio measures a company's ability to generate profits relative to its assets?

a) Return on equity

b) Return on assets

c) Working capital ratio

d) Debt-to-equity ratio

Answer: b

12. Which of the following is a method of calculating depreciation?

a) Straight-line method

b) Double-declining balance method

c) Activity-based method

d) All of the above

Answer: d

13. Which financial statement shows a company's cash inflows and outflows over a period of time?

a) Balance sheet

b) Income statement

c) Statement of retained earnings

d) Cash flow statement

Answer: d

14. Which of the following is an example of an intangible asset?

a) Inventory

b) Land

- c) Patents
 - d) Equipment
- Answer: c

15. Which of the following is an example of a fixed cost?

- a) Sales commissions
- b) Raw materials used in production
- c) Rent for a retail store
- d) Depreciation on production equipment

Answer: c

16. Which financial ratio measures a company's ability to meet its current obligations with its current assets?

- a) Current ratio
- b) Quick ratio
- c) Debt-to-equity ratio
- d) Gross margin ratio

Answer: b

17. Which of the following is a type of financial intermediary?

- a) Banks
- b) Stock markets
- c) Insurance companies
- d) All of the above

Answer: d

18. Which of the following is a characteristic of a bond?

- a) Ownership in the issuing company
- b) Fixed interest payments
- c) Dividends
- d) Voting rights

Answer: b

19. Which of the following is a method of valuing stock?

- a) Discounted cash flow analysis
- b) Price-earnings ratio
- c) Book value
- d) All of the above

Answer: d

20. Which of the following is an example of a liability?

- a) Accounts receivable
- b) Buildings owned by the company
- c) Loans from a bank
- d) Inventory

Answer: c

21. Which of the following is a budgeting technique that involves estimating costs and revenues based on previous performance?

- a) Incremental budgeting
- b) Zero-based budgeting
- c) Activity-based budgeting
- d) Top-down budgeting

Answer: a

22. Which of the following is a characteristic of a common stock?

- a) Fixed dividend payments
- b) Preference for payment in liquidation
- c) Voting rights
- d) Seniority in payment of dividends

Answer: c

23. Which financial statement shows changes in a company's retained earnings over a period of time?

- a) Balance sheet
- b) Income statement
- c) Statement of retained earnings
- d) Cash flow statement

Answer: c

24. Which of the following is a type of long-term debt?

- a) Accounts payable
- b) Bonds
- c) Salaries payable
- d) Rent payable

Answer: b

25. Which of the following is an example of a direct cost?

- a) Advertising expenses
- b) Depreciation on office equipment
- c) Raw materials used in production
- d) Rent for a retail store

Answer: c

26. Which financial ratio measures a company's ability to generate profits relative to its equity?

- a) Return on equity
- b) Return on assets
- c) Working capital ratio
- d) Debt-to-equity ratio

Answer: a

27. Which of the following is a method of calculating the internal rate of return of an investment?

- a) Net present value
- b) Payback period
- c) Discounted cash flow analysis
- d) All of the above

Answer: d

28. Which financial statement shows a company's revenues and expenses for a specific point in time?

- a) Balance sheet
- b) Income statement
- c) Statement of retained earnings
- d) Cash flow statement

Answer: b

29. Which of the following is a method of calculating the payback period of an investment?

- a) Net present value
- b) Internal rate of return
- c) Discounted cash flow analysis
- d) All of the above

Answer: d

30. Which of the following is a type of liquidity ratio?

- a) Current ratio
- b) Quick ratio
- c) Debt-to-equity ratio
- d) Gross margin ratio

Answer: a

31. Which of the following is an example of a product cost?

- a) Rent for a retail store
- b) Salaries for administrative staff
- c) Raw materials used in production
- d) Advertising expenses

Answer: c

32. Which of the following is an example of a sunk cost?

- a) Raw materials for a product that will be produced in the future
- b) Rent for a retail store
- c) Salaries for administrative staff
- d) All of the above

Answer: b

33. Which financial ratio measures a company's ability to generate profits relative to its sales?

- a) Return on equity
- b) Gross profit margin
- c) Debt-to-equity ratio
- d) Working capital ratio

Answer: b

34. Which of the following is a method of calculating the net present value of an investment?

- a) Payback period
- b) Internal rate of return
- c) Discounted cash flow analysis

d) All of the above

Answer: c

35. Which of the following is an example of a fixed asset?

- a) Inventory
- b) Land
- c) Patents
- d) Accounts receivable

Answer: b

36. Which financial statement shows changes in a company's cash balance over a period of time?

- a) Balance sheet
- b) Income statement
- c) Statement of retained earnings
- d) Cash flow statement

Answer: d

37. Which of the following is a type of short-term debt?

- a) Bonds
- b) Loans from a bank
- c) Accounts payable
- d) Long-term notes payable

Answer: c

38. Which of the following is an example of an indirect cost?

- a) Advertising expenses
- b) Depreciation on office equipment
- c) Raw materials used in production
- d) Rent for a retail store

Answer: d

39. Which of the following is a method of calculating the profitability of an investment?

- a) Payback period
- b) Internal rate of return
- c) Discounted cash flow analysis
- d) All of the above

Answer: d

40. Which financial ratio measures a company's ability to pay its debts on time?

- a) Current ratio
- b) Debt-to-equity ratio
- c) Gross margin ratio
- d) Working capital ratio

Answer: a

41. Which of the following is a method of valuing a company?

- a) Discounted cash flow analysis
- b) Price-earnings ratio

- c) Book value
- d) All of the above

Answer: d

42. Which of the following is an example of a contingent liability?

- a) Salaries payable
- b) Loans from a bank
- c) Pending lawsuits
- d) Rent payable

Answer: c

43. Which financial statement shows changes in a company's equity over a period of time?

- a) Balance sheet
- b) Income statement
- c) Statement of retained earnings
- d) Cash flow statement

Answer: c

44. Which of the following is a type of financing decision?

- a) Deciding on the appropriate inventory levels for a product
- b) Deciding on the appropriate amount of advertising to promote a product
- c) Deciding on the appropriate debt-to-equity ratio
- d) Deciding whether to invest in a new production facility

Answer: c

45. Which of the following is a characteristic of a preferred stock?

- a) Fixed dividend payments
- b) Preference for payment in liquidation
- c) Voting rights
- d) Seniority in payment of dividends

Answer: b

46. Which financial ratio measures a company's efficiency in using its assets to generate sales?

- a) Return on equity
- b) Gross profit margin
- c) Asset turnover ratio
- d) Debt-to-equity ratio

Answer: c

47. Which of the following is a method of calculating the break-even point of a product?

- a) Net present value
- b) Internal rate of return
- c) Discounted cash flow analysis
- d) All of the above

Answer: d

48. Which of the following is an example of a long-term asset?

- a) Accounts receivable

- b) Buildings owned by the company
- c) Inventory
- d) Raw materials used in production

Answer: b

49. Which financial statement shows a company's retained earnings at a specific point in time?

- a) Balance sheet
- b) Income statement
- c) Statement of retained earnings
- d) Cash flow statement

Answer: c

50. Which of the following is a type of market risk?

- a) Default risk
- b) Interest rate risk
- c) Inflation risk
- d) Credit risk

Answer: c

51. Which of the following is a type of management decision?

- a) Deciding on the appropriate debt-to-equity ratio
- b) Deciding on the appropriate inventory levels for a product
- c) Deciding whether to invest in a new production facility
- d) Deciding on the appropriate amount of advertising to promote a product

Answer: d

52. Which of the following is an example of a current asset?

- a) Buildings owned by the company
- b) Inventory
- c) Patents
- d) Long-term investments

Answer: b

53. Which financial ratio measures a company's ability to generate profits before interest and taxes relative to its sales?

- a) Return on equity
- b) Gross profit margin
- c) Operating profit margin
- d) Debt-to-equity ratio

Answer: c

54. Which of the following is a method of valuing a bond?

- a) Discounted cash flow analysis
- b) Price-earnings ratio
- c) Book value
- d) All of the above

Answer: a

55. Which of the following is an example of an implicit cost?

- a) Rent for a retail store
- b) Salaries for administrative staff
- c) Depreciation on production equipment
- d) All of the above

Answer: d

56. Which financial statement shows a company's income and expenses for a specific period of time?

- a) Balance sheet
- b) Income statement
- c) Statement of retained earnings
- d) Cash flow statement

Answer: b

57. Which of the following is a type of operational risk?

- a) Default risk
- b) Interest rate risk
- c) Fraud risk
- d) Credit risk

Answer: c

58. Which of the following is a characteristic of a debt security?

- a) Ownership in the issuing company
- b) Fixed interest payments
- c) Dividends
- d) Voting rights

Answer: b

59. Which of the following is a type of equity security?

- a) Bonds
- b) Preferred stock
- c) Accounts payable
- d) All of the above

Answer: b

60. Which financial ratio measures a company's ability to generate profits after interest and taxes relative to its sales?

- a) Return on equity
- b) Gross profit margin
- c) Net profit margin
- d) Debt-to-equity ratio

Answer: c

61. Which of the following is a method of calculating the break-even point in units for a product?

- a) Net present value
- b) Internal rate of return
- c) Contribution margin analysis
- d) All of the above

Answer: c

62. Which of the following is an example of an indirect cost?

- a) Raw materials used in production
- b) Depreciation on office equipment
- c) Advertising expenses
- d) Rent for a retail store

Answer: d

63. Which financial statement shows a company's assets, liabilities, and equity at a specific point in time?

- a) Balance sheet
- b) Income statement
- c) Statement of retained earnings
- d) Cash flow statement

Answer: a

64. Which of the following is a type of liquidity risk?

- a) Interest rate risk
- b) Market risk
- c) Default risk
- d) Inflation risk

Answer: c

65. Which of the following is a method of calculating the operating cash flow of a company?

- a) Net income plus depreciation
- b) Gross income minus expenses
- c) Cash inflows minus cash outflows
- d) Sales minus cost of goods sold

Answer: a

66. Which of the following is an example of a cash equivalent asset?

- a) Inventory
- b) Accounts receivable
- c) Short-term investments
- d) Long-term investments

Answer: c

67. Which financial ratio measures a company's ability to generate profits relative to its equity and long-term debt?

- a) Return on equity
- b) Return on assets
- c) Debt-to-equity ratio
- d) Gross margin ratio

Answer: a

68. Which of the following is a method of calculating the net income of a company?

- a) Sales minus cost of goods sold

- b) Gross income minus expenses
- c) Net income plus depreciation
- d) Cash inflows minus cash outflows

Answer: a

69. Which financial statement shows a company's cash inflows and outflows for a specific period of time?

- a) Balance sheet
- b) Income statement
- c) Statement of retained earnings
- d) Cash flow statement

Answer: d

70. Which of the following is a type of credit risk?

- a) Market risk
- b) Liquidity risk
- c) Default risk
- d) Interest rate risk

Answer: c

71. Which of the following is a method of calculating the interest expense of a company?

- a) Interest rate times the amount of debt
- b) Net income times the interest rate
- c) Sales minus cost of goods sold
- d) Gross income minus expenses

Answer: a

72. Which of the following is an example of a direct cost?

- a) Rent for a retail store
- b) Depreciation on office equipment
- c) Raw materials used in production
- d) Advertising expenses

Answer: c

73. Which financial ratio measures a company's ability to meet its current obligations with its current assets and without selling inventory?

- a) Current ratio
- b) Quick ratio
- c) Working capital ratio
- d) Debt-to-equity ratio

Answer: b

74. Which of the following is a characteristic of a lease?

- a) Ownership in the leased asset
- b) Fixed lease payments
- c) Dividends
- d) Voting rights

Answer: b

75. Which of the following is a type of default risk?

- a) Interest rate risk
- b) Credit risk
- c) Market risk
- d) Liquidity risk

Answer: b

76. Which financial ratio measures a company's ability to pay its debts on time with its cash inflows from operations?

- a) Current ratio
- b) Debt-to-equity ratio
- c) Operating cash flow ratio
- d) Gross margin ratio

Answer: c

77. Which of the following is a type of financing decision?

- a) Deciding on the appropriate debt-to-equity ratio
- b) Deciding on the appropriate amount of advertising to promote a product
- c) Deciding on the appropriate inventory levels for a product
- d) Deciding whether to invest in a new production facility

Answer: a

78. Which of the following is a method of calculating the break-even point in dollars for a product?

- a) Net present value
- b) Internal rate of return
- c) Contribution margin analysis
- d) All of the above

Answer: c

79. Which of the following is an example of a long-term liability?

- a) Accounts payable
- b) Salaries payable
- c) Long-term notes payable
- d) Rent payable

Answer: c

80. Which financial statement shows a company's cash inflows and outflows from investing and financing activities over a period of time?

- a) Balance sheet
- b) Income statement
- c) Statement of retained earnings
- d) Cash flow statement

Answer: d

81. Which of the following is a type of market risk?

- a) Credit risk
- b) Interest rate risk

- c) Inflation risk
- d) Default risk

Answer: b

82. Which of the following is a characteristic of a preferred stock?

- a) Fixed dividend payments
- b) Preference for payment in liquidation
- c) Voting rights
- d) Seniority in payment of dividends

Answer: b

83. Which financial ratio measures a company's ability to generate profits relative to its investment in fixed assets?

- a) Return on equity
- b) Return on assets
- c) Asset turnover ratio
- d) Gross profit margin

Answer: b

84. Which of the following is a type of marketable security?

- a) Bonds
- b) Preferred stock
- c) Short-term investments
- d) All of the above

Answer: d

85. What is the primary purpose of financial accounting?

- A. To assist in decision-making by external users
- B. To assist in decision-making by internal users
- C. To calculate and pay taxes
- D. To forecast future trends and sales

Answer: A

86. What is the difference between a balance sheet and an income statement?

- A. A balance sheet shows revenue and expenses, while an income statement shows assets and liabilities
- B. A balance sheet shows assets and liabilities, while an income statement shows revenue and expenses
- C. A balance sheet shows cash flows, while an income statement shows profit and loss
- D. A balance sheet shows budgets, while an income statement shows actuals

Answer: B

87. Which of the following is a current asset?

- A. Land
- B. Buildings
- C. Inventory
- D. Patents

Answer: C

88. What is the accounting equation?

- A. $\text{Assets} - \text{Liabilities} = \text{Equity}$
- B. $\text{Liabilities} - \text{Assets} = \text{Equity}$
- C. $\text{Equity} - \text{Liabilities} = \text{Assets}$
- D. $\text{Liabilities} + \text{Equity} = \text{Assets}$

Answer: A

89. What is the purpose of financial ratio analysis?

- A. To evaluate a company's liquidity and solvency
- B. To evaluate a company's marketing strategy
- C. To evaluate a company's manufacturing process
- D. To evaluate a company's customer service

Answer: A

90. Which financial statement reports a company's cash inflows and outflows?

- A. Income statement
- B. Balance sheet
- C. Statement of cash flows
- D. Statement of retained earnings

Answer: C

91. Which accounting method follows the realization principle?

- A. Accrual accounting
- B. Cash accounting
- C. Both accrual and cash accounting
- D. Neither accrual nor cash accounting

Answer: A

92. Which financial statement reports a company's retained earnings?

- A. Income statement
- B. Balance sheet
- C. Statement of cash flows
- D. Statement of retained earnings

Answer: D

93. Which financial statement is used to calculate a company's debt-to-equity ratio?

- A. Income statement
- B. Balance sheet
- C. Statement of cash flows
- D. Statement of retained earnings

Answer: B

94. How is the cost of goods sold calculated?

- A. Sales - expenses
- B. Gross profit - expenses
- C. Beginning inventory + purchases - ending inventory
- D. Sales - net income

Answer: C

95. Which financial ratio measures a company's ability to pay its short-term obligations?

- A. Acid-test ratio
- B. Debt-to-equity ratio
- C. Return on investment
- D. Earnings per share

Answer: A

96. Which accounting method records revenue when it is earned, regardless of when cash is received?

- A. Accrual accounting
- B. Cash accounting
- C. Both accrual and cash accounting
- D. Neither accrual nor cash accounting

Answer: A

97. Which financial statement shows a company's retained earnings over a period of time?

- A. Income statement
- B. Balance sheet
- C. Statement of cash flows
- D. Statement of retained earnings

Answer: D

98. Which financial ratio measures how efficiently a company is using its assets to generate revenue?

- A. Return on investment
- B. Debt-to-equity ratio
- C. Accounts receivable turnover
- D. Gross profit margin

Answer: C

99. What is the difference between accounts payable and accounts receivable?

- A. Accounts payable represents money owed by a company, while accounts receivable represents money owed to a company
- B. Accounts payable represents money owed to a company, while accounts receivable represents money owed by a company

- C. Accounts payable represents revenue, while accounts receivable represents expenses
- D. Accounts payable represents expenses, while accounts receivable represents revenue

Answer: A

100. Which financial ratio measures a company's profitability?

- A. Acid-test ratio
- B. Debt-to-equity ratio
- C. Return on investment
- D. Earnings per share

Answer: C